

HOW TO BUY GOLD

PHYSICAL GOLD

The most common form of buying gold is in the form of physical gold. We buy this from jewelers around us. Gold is bought in the physical form when the person wants to benefit from social and consumption value and not just investment value. Historically, the physical form of gold was the only way to buy it. The physical form of gold carries all the holding costs associated with gold- insurance, storage costs, loss due to theft, etc.



GOLD ETF

We saw that ETFs are mutual fund-like instruments that have an underlying asset to them and the price of ETF moves exactly in line with the underlying asset. A Gold ETF follows the gold indices and the prices of ETF move exactly in line with gold prices.

Also, instead of physical gold, ETFs are deposited in our Demat account in the form of a certificate. This reduces the storage costs, insurance costs and there is no risk of theft as we do not receive physical assets. Gold ETFs are a better way to buy gold when we do not need it for its consumption value. A lot of hassle in handling and buying physical gold goes away and the process of buying and selling becomes much easier.